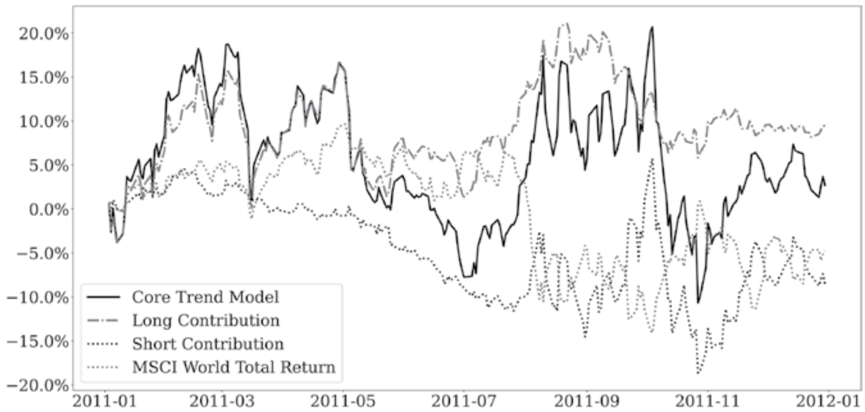

FIGURE 6.57 **Strategy performance 2011.**

There was nothing wrong with the start of the year, and by early March we already hold a 17% trading gain (Figure 6.57). So far, it looked like another really strong year. But that's when an earthquake caused a tsunami which caused a nuclear accident which caused a market crash. This little surprise caused a general market shock and most sectors, except for currencies, moved against us quickly. After that, uncertainty dominated the markets and we saw a more risk-averse stance among market participants.

After the initial hit from the Japanese disaster, we recovered almost all the gains before losing them again. Yes, this is shaping up to be another sleepless, rollercoaster of year. From having seen that initial 17% gain, we're in a 10% hole in July (Figure 6.58). As we have seen in the past, volatility begets volatility and our returns fluctuate rapidly. Soon after we hit those lows, the trading winds turn once again and we see swift gains all the way up to the previous year highs of around 15–18%. But easy come, easy go, and we lose it all again in October, just as quickly as we made it. As the equity markets took a sharp southbound turn late in the summer, our portfolio shifted tack from bullish to bearish. That worked out during the decline, as we flipped quite quickly, but as the market started rebounding in October, we lost the gains again.

The big moves this year were concentrated in just a few themes. The initial moves, both the gains early in the year and the subsequent losses after the Fukushima incident were generated by a combination of sectors, and they were more of broad market events. Later in the year, however, we